

QUARTERLY REPORTING · 15-LINE AUDIT

Read what your quarterly report shows you. Read what it doesn't, more carefully.

Most quarterly PBM reports run 14 pages and five recurring sections, every one a metric the PBM controls. The numbers that determine next year's renewal price are usually not in the report at all. Use this checklist to audit your most recent quarterly report against the 15 line items a complete report should contain.

01 How to Use This Checklist

Pull your most recent quarterly PBM report. Read it once cover to cover. Then run it against the 15 line items below. Mark every item that is in the report and every item that is missing. Send the gap list to your broker as a one-page diff. Standing version of this audit runs quarterly; the renewal version turns the gap list into contract-required reporting language.

☐ **Mark each line item:** ✓ in the report · △ partial · ○ missing.

☐ **Gap list workflow:** the missing items become the broker conversation now and the contract redline at renewal.

☐ **Five sections you will probably see:** total spend YTD, generic dispensing rate, mail-order penetration, specialty drug count, member out-of-pocket. All metrics the PBM controls.

☐ **If the PBM cannot produce a line item:** the contract did not require it. That is the audit finding. Document the response and date it.

02 The 15-Line Checklist

Fifteen line items a complete PBM quarterly report should contain. Mark each row's status against your most recent report.

#	LINE ITEM	STATUS
1.	Net cost per script by channel for top 10 drugs by spend	○ ○ ○
2.	Rebate gross-to-net by therapeutic class	○ ○ ○
3.	Affiliated-pharmacy share of claims by drug category	○ ○ ○
4.	Formulary tier changes (with rationale)	○ ○ ○
5.	PA approval, denial, and overturn-on-appeal rates by therapeutic class	○ ○ ○
6.	Claim-level audit trail for high-cost outliers	○ ○ ○
7.	PBM compensation by category (spread, fees, manufacturer)	○ ○ ○
8.	Member access metrics (refill abandonment, days-to-fill, OOP)	○ ○ ○
9.	YoY and QoQ comparisons (not just YTD)	○ ○ ○
10.	Specialty drug routing report (drug-by-pharmacy matrix)	○ ○ ○
11.	Manufacturer payment categories by drug	○ ○ ○
12.	Generic and biosimilar substitution-by-opportunity ratio	○ ○ ○
13.	Top 25 drugs with utilization detail	○ ○ ○
14.	Network changes during the quarter	○ ○ ○
15.	Reporting attestation signed by named PBM contact	○ ○ ○

Illustrative checklist for educational purposes. The 15 line items reflect what a complete quarterly report should contain; specific contract language requirements vary by plan size, PBM, and contract vintage. The audit identifies what is missing from the report, not whether the underlying PBM performance is favorable or unfavorable.

03 Paste-Ready Broker Request

Once you have marked each line item on page 1, paste this email to your broker. Replace the bracketed fields with your specifics; the body is intentionally short so the gap list does the work.

SUBJECT LINE

Quarterly PBM Report Audit — Gap List for Next Cycle

Hi [broker name],

I ran our most recent quarterly PBM report against a 15-line audit checklist. The items below are missing from the report or appear without sufficient detail to act on.

[Paste the line items marked ☐ missing or ☐ partial from page 1, with item number and description]

Could you raise the gap list with the PBM and confirm whether each item can be added to the next quarterly report under our existing contract? For items the PBM declines or cannot produce, I want to add them to our renewal redline as standing reporting deliverables.

Goal: next quarterly report shows the gap items, contract redline locks them in at renewal.

Thanks,
[Your name]

04 4-Step Quarterly Action Plan

Findings without action are observations. The reporting clause is what gets the data into the report. Run the cycle below every quarter; redline at renewal.

§ This quarter: complete the page-1 audit and email your broker.

Mark each of the 15 line items ☒ / ☐ / ☐ against your most recent quarterly PBM report. Email the gap list to your broker within five business days using the page-2 paste-ready language. Keep your dated copy with the quarterly file.

§ Next quarter: confirm the gap items appeared in the new report.

The PBM should be able to produce the missing line items under your existing contract; whether they will is the question the broker conversation tests. Mark which of the gap items show up in the next quarterly report. Items still missing become the renewal redline.

§ Pre-renewal: name every line item in the contract reporting clause.

Replace any "standard" or "customarily provided" language with a clause that lists each of the 15 line items by description, plus a signed PBM attestation that the data is complete and accurate. The strongest contracts we review write the format, lookback window, and delivery cadence into the clause itself.

§ Standing: schedule the audit on the benefits committee calendar.

Quarterly cadence. Document each quarter's checklist results and the actions taken since the prior quarter. Builds the fiduciary documentation trail (see Week 19 framework) at the same time it protects the plan from the next contract drift.